TRACK 3 — FINANCIAL INCLUSION & SUSTAINABILITY

Create financially sustainable solutions, promote economic empowerment, and design robust funding models for social-change organisations.

Challenge 3.1 — Financial Literacy Solutions for Micro-Entrepreneurs & Gig Workers

Domain / Track: Finance & Social Impact

Background & Context India has roughly 6.3 crore MSMEs and an estimated 7.7 crore gig workers (NITI Aayog, 2022, projected to 23.5 crore by 2030). Most have no formal financial training. They borrow at 24–60% from informal lenders, lack health/income-protection insurance, and have no retirement runway. The RBI's 2019 Financial Literacy Survey put India's adult financial literacy rate at 27% — among the lowest in the G20.

Problem Statement Design and pilot interactive, vernacular financial-literacy modules — physical, digital, or hybrid — for one specific micro-entrepreneur or gig-worker segment (e.g., Zomato delivery riders in Delhi, sari weavers in Varanasi, vegetable vendors in Bengaluru).

Why This Matters Better savings habits, micro-insurance uptake, and credit hygiene compound over decades. A single rider who shifts from a 36% informal loan to a 14% MUDRA loan saves over ₹40,000 on a ₹2 lakh loan.

Project Objectives

- Build at least 2 complete learning modules (e.g., "Saving from Daily Earnings", "Choosing Health Insurance").
- Localise content for one specific community and language.
- Pilot-test with at least 20 users.

Key Questions to Explore

- What format works — comic strips, WhatsApp voice notes, 60-second reels, in-person workshops?
- How do you teach compound interest to someone who never studied beyond Class 5?
- What's the "next action" each module should drive (open a Jan Dhan account, buy PMSBY, etc.)?

Suggested Approach

- Use adult-learning principles (Knowles' andragogy): relevance-first, story-based.

- Borrow from the Sesame Workshop India / Nudge Foundation pedagogy.
- Distribute via WhatsApp Status, ASHA workers, or RWA noticeboards.

Recommended Tools & Resources

- RBI Financial Education content library, NCFE.org.in.
- Canva, CapCut for creative production.
- Schemes to teach: PMJDY, PMSBY, PMJJBY, APY, MUDRA, e-Shram.

Expected Deliverables

- Minimum 2 full modules in at least 1 Indian language.
- Pilot test report with comprehension and intent-to-act metrics.
- Last-mile distribution strategy.

Success Metrics

- ≥ 70% post-test comprehension lift vs. pre-test.
- ≥ 30% of pilot users report taking a concrete financial action within 7 days.

Potential Impact Modules adoptable by SHGs, RRBs, fintechs, and CSR programs at near-zero marginal cost.

Challenge 3.2 — Sustainable Funding Models Beyond Donations for Indian NGOs

Domain / Track: Finance & Social Impact

Background & Context The 2020 FCRA amendments and the post-COVID donation slowdown have squeezed Indian NGOs hard. According to Bain's India Philanthropy Report 2024, private giving growth has flattened and most small NGOs run with under 3 months of cash runway. CSR funding is concentrated in the largest 500 NGOs. The sector urgently needs financial innovation — social enterprises, outcome-based funding, community trusts.

Problem Statement For a chosen real NGO (or a well-defined NGO archetype), design a diversified funding model that reduces single-source dependence and improves 3-year sustainability — using at least one non-traditional structure such as a Development Impact Bond, cross-subsidisation, social enterprise wing, or community micro-fund.

Why This Matters A funding-resilient social sector is the difference between programs that survive a single bad year and programs that scale for a decade.

Project Objectives

- Build a 3-year financial model in Excel/Sheets.
- Compare at least 3 funding structures with risk-adjusted projections.
- Produce an investor-ready pitch deck.

Key Questions to Explore

- What does the NGO's cost structure actually look like — fixed vs. variable, programmatic vs. overhead?
- Which beneficiaries could pay even ₹10/month without compromising the mission?
- Where can CSR + government + retail donor money be stacked without overlap?

Suggested Approach

- Use Educate Girls' DIB and Medha's blended-funding model as case studies.
- Build a unit-economics model first, then layer funding on top.
- Stress-test the model under 3 scenarios (recession, FCRA tightening, growth).

Recommended Tools & Resources

- Reports: Bain India Philanthropy, Dasra, GIVE Foundation, Sattva Consulting.
- Tools: Google Sheets / Excel, Causal.app for modelling.

Expected Deliverables

- Comparative analysis report (≥ 3 models).
- Financial projection workbook with sensitivity analysis.
- 10–12 slide pitch deck for NGO board / funder.

Success Metrics

- Model demonstrates ≥ 30% reduction in single-source dependence.
- Receives validation from one NGO finance lead or impact investor.

Potential Impact A repeatable financial-design framework that small NGOs can copy without hiring a CFO.

Challenge 3.3 — Digital Finance Adoption in Cash-Heavy Rural India

Domain / Track: Finance & Social Impact

Background & Context UPI processed 16,000 crore transactions in 2024 — yet rural India remains 60–70% cash-based for daily transactions. Barriers are well-documented: low smartphone penetration in older demographics, poor connectivity, trust deficits after fraud reports, and merchants who prefer cash for tax-informality reasons.

Problem Statement Build a localised adoption roadmap for migrating one specific rural community (a chosen district, panchayat, or cluster of villages) from cash to digital payments — covering tech access, trust building, fraud literacy, and merchant on-boarding.

Why This Matters Every percentage-point shift to digital reduces leakage in welfare transfers, expands credit access (via UPI transaction history), and brings the informal economy into measurable view.

Project Objectives

- Map the cash-flow journey of 10 households and 5 merchants in the chosen area.
- Identify the 3 highest-friction barriers.
- Produce a phased 12-month adoption roadmap with risk register and user-journey maps.

Key Questions to Explore

- Why do users who have a UPI app still pay in cash?
- How do you build trust after a UPI fraud incident in the village?
- What role can ASHA workers, BC agents (Banking Correspondents), or kirana shopkeepers play as adoption champions?

Suggested Approach

- Field research: ethnographic interviews + cash-diary methodology.
- Use UPI Lite (offline) and UPI 123Pay (feature phone) as low-friction entry points.
- Design a "trust circle" pilot — start with one merchant cluster, expand outward.

Recommended Tools & Resources

- NPCI documentation on UPI Lite, UPI 123Pay, AePS.
- Reports: NPCI, MicroSave Consulting, CGAP, RBI Reports on Currency and Finance.
- Tools: Miro for journey maps, Figma for user-flow design.

Expected Deliverables

- Adoption roadmap with phased milestones.
- Risk and mitigation register.
- User-journey maps for ≥ 3 personas.

Success Metrics

- Roadmap reviewed by one expert (NPCI, fintech, BC network operator).
- At least one merchant onboarded during the pilot window.

Potential Impact A district-level adoption blueprint replicable across India's ~250,000 panchayats.